Why setting next year’s priorities is not enough if the organization still operates like last year.

The gap between setting ambitions for the coming year and changing the way the organization needs to operate to deliver them.

A leadership team agrees its strategic direction and starts defining next year’s objectives. Then the budget discussions introduce a higher margin expectation, another savings requirement or less investment than anticipated. The plan is revised. What is less clear is whether the organization can deliver the revised commitments.

This is a conversation I want to have while the choices are still open. Which capabilities does the ambition require? What changes when the financial assumptions move? How much time will the organization need to respond?

As business ecosystems evolve and AI changes how work can be done, the annual planning cycle cannot be the only occasion to ask these questions. Constant reorganization is no answer either. Leaders need to decide what should change, when to act and how quickly the business can absorb it.

What must the organization be able to do?

A strategy needs to say more than where the business wants to go. It must identify what the organization needs to become good at. Integrating acquisitions, sharing scarce expertise across businesses or making decisions across functions are capabilities that take time to build.

Five elements shape those capabilities. Strategy establishes the choices and direction. Structure defines responsibilities and authority. Processes determine how work and information move. Rewards influence what people give attention to. People bring the expertise, judgment and leadership needed to deliver. Changing one element without considering the others can leave colleagues facing contradictory expectations.

A business may want decisions made closer to customers while retaining several layers of approval. It may ask teams to collaborate while rewarding only functional results. The question is whether the organization supports the behaviour the strategy now requires.

When the numbers move

Additional revenue or savings assumptions are sometimes introduced to close a gap in the financial plan before the means of delivering them have been established. These “financial plugs” can help expose a difficult choice. They become a problem when entering the number is treated as resolving the choice.

If the business must deliver more with fewer resources, leaders need to revisit scope, timing and the capabilities they intend to build. Otherwise, managers inherit the original ambition and a different set of conditions, with no agreement about what can give way.

I would bring the financial and organizational conversations together at that point. Which assumptions still hold? Which commitments need to change? And who has the authority to make that decision?

The target and the transition run on different clocks

A full-year savings target may depend on changes that cannot take effect at the start of the year. Decisions affecting people can require preparation, consultation and other local processes, depending on the country and context. Responsibilities must then be transferred and new arrangements made workable. The business may carry the costs of both the existing operation and the transition for a period.

These lead times belong in the plan. They affect when benefits can be realised and what support the change will require. Leaving them until implementation risks creating an expectation that the organization cannot reasonably meet.

Prepare options before they become urgent

I have seen leaders better prepared when they work through several plausible scenarios. They can discuss what they would protect, what they could defer and which decisions would need to happen earlier under different conditions.

The weakness in a single plan is not necessarily its level of ambition. An optimistic plan and a defensive one can both leave leaders exposed if neither prepares them for a different course of events. As assumptions change, they make successive reactive adjustments, with less room to consider the operational and people consequences.

Useful scenario work goes beyond changing growth rates in a spreadsheet. If demand slows, which capabilities still deserve investment? If it accelerates, where will the organization struggle first? What evidence would justify changing course, and which options require preparation now?

I would start this work while shaping the strategy. Leaders can investigate dependencies, develop options and take actions that make sense across scenarios before committing to changes that depend on a particular outcome.

Manage the transition, not only the destination

When I work with leaders, we also examine the tensions they will need to manage throughout the transition. They must deliver current commitments while building future capabilities. People need clarity, even when some decisions remain unresolved. The organization needs enough stability to operate and enough flexibility to adapt.

These are polarities to manage over time. Neither side can simply be discarded. A transition plan should show what changes first, what remains stable and how leaders will recognise that the pace or sequence needs adjusting.

Operational and people risks are closely connected. A critical handover may depend on someone whose role is uncertain. The same specialist may be needed to maintain delivery and develop a new process. Managers may be asked to explain a change before they have answers to the questions their teams will raise. Those dependencies need owners and practical arrangements, not just a place on a risk register.

If next year’s priorities require a different way of operating, what are you preparing now so the organization can deliver them?

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